

Table 52.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Measure the height of the rectangle from trendline to trendline. For upward breakouts, add the height to the top trendline; for downward breakouts, subtract it from the bottom trendline. The result is the target price. The bottom portion of the table shows how often this works.
Tall rectangle scalp	If the rectangle is tall enough, sell or sell short near the top trendline and buy or cover near the bottom one.
Other	Watch for rectangles forming as the corrective phase of a measured move up pattern and adjust the target price accordingly.
Stop location	Use Table 52.7 for location guidance.
Busted trade	Downward breakouts in bull markets that bust lead to strong gains.

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
Percentage reaching half height target	90%	83%	75%
Percentage reaching full height target	78%	60%	54%
Percentage reaching 2× height	62%	42%	32%
Percentage reaching 3× height	51%	27%	18%

For an example of the measure rule and how it applies to rectangles, consider the rectangle top pictured in [Figure 52.4](#). The top trendline has a value of 38.75, whereas the bottom one perches at 33.75. The difference of 5 is the height of the rectangle. If this rectangle were to break out